PRIVILEGED & CONFIDENTIAL

SUBJECT TO LEGAL PROFESSIONAL PRIVILEGE — NOT FOR DISCLOSURE

IN THE MATTER OF A PROPOSED CLAIM
PENNINGTON INDUSTRIES LIMITED
— and —
CROSSFIELD ENGINEERING LIMITED

ADVICE ON MERITS AND QUANTUM

Introduction and instructions

1. I am asked by Whitfield Carter LLP, on behalf of Pennington Industries Limited ("Pennington"), to advise on the merits of a contractual claim against Crossfield Engineering Limited ("Crossfield") arising from the supply of PX-440 impeller housings, and on the level of damages recoverable. I have been provided with the supply agreement dated 12 March 2024, the Wraysbury Materials Laboratory report of 12 September 2024, the parties' pre-action correspondence, and Pennington's draft schedule of loss.

2. In short, I consider that Pennington has a strong claim on liability, that causation is defensible but will require expert metallurgical evidence, and that the principal battleground will be Crossfield's reliance on the limitation and exclusion clause (clause 11). My overall assessment is that Pennington's prospects of establishing liability are good (in the region of 70–75%), but that the recoverable quantum is materially exposed by clause 11 and realistically falls well below the full pleaded figure unless the exclusion is disapplied.

Liability

3. The contractual requirement for grade 316L is clear on the face of the Technical Specification and the drawing. If the Wraysbury findings are made good — that grade 430 was substituted — then breach of clause 7.1, and of the terms implied by sections 13 and 14 of the Sale of Goods Act 1979, is effectively unanswerable. Grade 430 is a different material answering a different description.

4. Crossfield's "value-engineering / sample approval" defence is, on the documents I have seen, weak. The first-article approval appears to have concerned dimensions and finish, not material grade, and I have seen nothing amounting to a clear agreed variation of the material requirement. Pennington should press in disclosure for the mill certificates and Crossfield's raw-material purchasing records, which are likely to be decisive: if Crossfield bought 430, the defence collapses.

Causation

5. Causation is more contestable. Crossfield will say the failures were caused by Pennington's June 2024 torque/seal change and by out-of-envelope operating conditions. Pennington's answer — that compliant housings did not fail under the same revised specification — is a good one, but this is ultimately a question for metallurgical and engineering experts. I advise that Pennington obtains a CPR Part 35 expert metallurgist at an early stage and that the existing Wraysbury work is put on a defensible, properly-instructed footing.

The limitation and exclusion clause

6. Clause 11 is the real difficulty. On its face, clause 11.2 excludes loss of production and indirect/consequential loss, and clause 11.3 caps aggregate liability at the charges paid (£214,830). If both limbs are upheld, Pennington's recovery could be confined to direct losses subject to a £214,830 cap — a fraction of the pleaded claim.

7. There are, however, real arguments to deploy: (i) whether the £742,000 "lost production" head is truly "indirect/consequential" in the Hadley v Baxendale sense, or is in fact direct loss flowing naturally from the breach and so outside clause 11.2 on its true construction; (ii) whether clause 11 satisfies the reasonableness requirement of the Unfair Contract Terms Act 1977, given the parties' relative bargaining positions and the fact that a sub-£215,000 cap on a safety-critical component supply may be unreasonable; and (iii) careful characterisation of each head of loss to maximise what falls outside the exclusion. I am moderately optimistic on (i) and (iii); (ii) is more finely balanced and fact-sensitive.

Quantum

8. On the pleaded figure of £2,359,600, my provisional view of realistic recovery, weighted for the clause 11 risk, is as follows. If the exclusion is largely disapplied or the lost-production head is characterised as direct, recovery in the region of £1.6m–£2.0m is achievable. If clause 11.2 is upheld but the cap is found unreasonable under UCTA, recovery of the direct heads (replacement components, recall/rebuild, remedial works, carriage) of roughly £1.5m is realistic. If both limbs of clause 11 are upheld, recovery is limited to approximately £214,830. A sensible settlement value, taking these scenarios together with litigation risk and costs, is in the region of £1.1m–£1.4m.

Recommendations

9. I recommend that Pennington: (a) instruct a Part 35 metallurgist promptly; (b) issue and serve without delay, the limitation period not being in issue but momentum being valuable; (c) make an early, well-pitched Part 36 offer once the expert position is clearer, to maximise costs protection; and (d) keep mediation firmly on the table — this is a dispute well suited to commercial resolution given the clause 11 uncertainty on both sides.

10. I am happy to advise further in conference once disclosure has been given and the expert evidence is in.

HARRIET STANFORD

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